

Over this entire 40-year period, GEM has an average annual return of 17.43% with a 12.64% standard deviation, a 0.87 Sharpe ratio, and a maximum drawdown of 22.7%.⁶ This almost doubling of the annual rate of return over ACWI comes with a reduction in volatility of 2%. The Sharpe ratio quadruples, and the maximum drawdown drops by nearly two-thirds.

As you can see in [Figure 8.5](#), the absolute momentum component in GEM kept us relatively safe from bear market erosions of capital.⁷ Not having to recoup bear market losses is what contributed greatly to GEM's extraordinary returns. As an indication of robustness, GEM also showed consistency throughout the data, having much higher Sharpe ratios and lower maximum drawdowns than ACWI during each of the four decades.

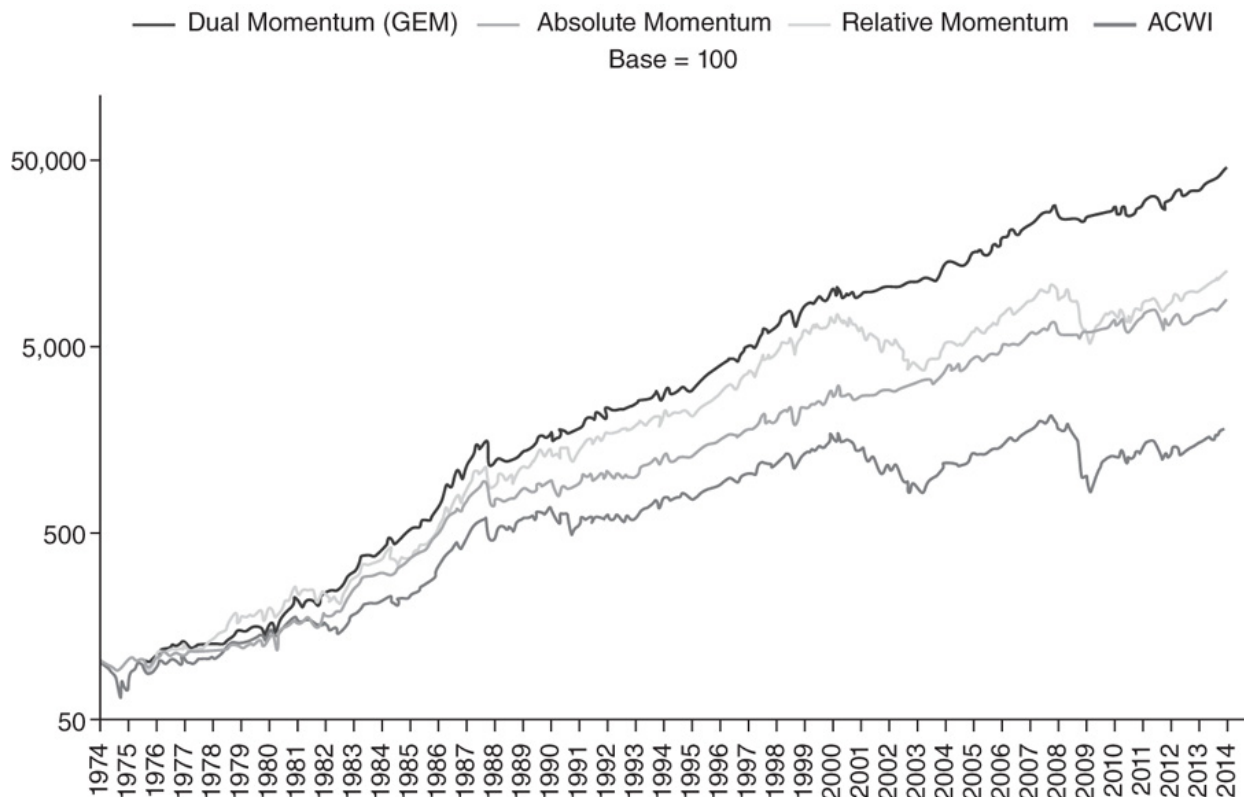


Figure 8.5 Dual, Absolute, and Relative Momentum, 1974–2013

[Figure 8.6](#) is a reward-to-volatility plot for GEM, absolute momentum, relative momentum, and the ACWI index. It is easy here to see that GEM has the best reward-to-risk profile.